MidCap Blend R2 Fund as of 12/31/2011

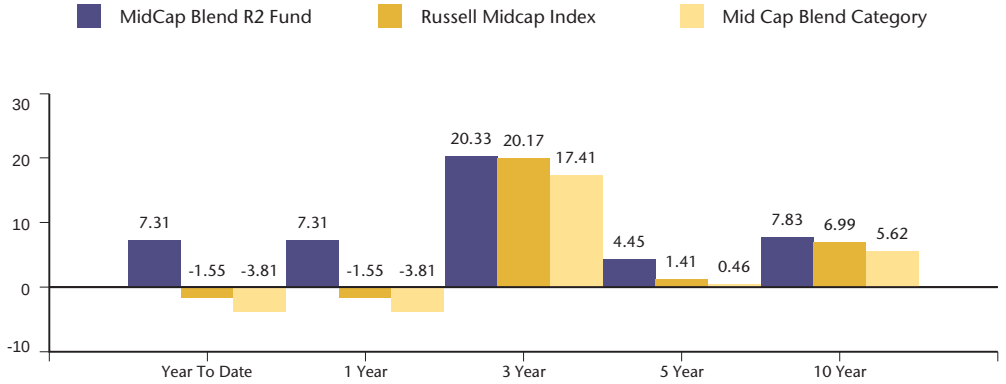
Investment Strategy

The investment seeks long-term growth of capital. The fund invests primarily in common stocks and other equity securities of medium-capitalization companies. It normally invests at least 80% of net assets in companies with market capitalizations similar to those of companies in the Russell Midcap(R) Index. Management's security selection is based on stocks with value and/or growth characteristics, and management constructs an investment portfolio that has a "blend" of stocks with these characteristics.

Portfolio managers

K. William Nolin, CFA. Since 12/06/2000. M.B.A., Yale University

Long-term returns % as of 12/31/2011



Performance disclosure

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In situations where the net and gross total investment expense figures are different or where a contractual cap and/or waiver date is given, the mutual fund or the underlying fund in which a Separate Account invests has waived/capped a portion of its management fees through the date displayed in the waiver expiration date or contractual cap expiration date column. Differences may also be shown due to the fund family choosing to pay certain expenses that would normally be payable by the fund. Returns displayed are based on net total investment expense.

Long Term Returns	Year To Date	1 Year	3 Year	5 Year	10 Year
Total Return %	7.31	7.31	20.33	4.45	7.83
Russell Midcap Index %	-1.55	-1.55	20.17	1.41	6.99
Mid Cap Blend Category %	-3.81	-3.81	17.41	0.46	5.62
Morningstar Percentile Rankings	-	4	20	6	9
# of Funds in Category	424	424	378	312	200
Annual Returns	**2011**	**2010**	**2009**	**2008**	**2007**
Total Return %	7.31	22.77	32.24	-34.31	8.61
Russell Midcap Index %	-1.55	25.48	40.48	-41.46	5.60
Mid Cap Blend Category %	-3.81	22.52	37.39	-39.18	4.85
Morningstar Percentile Rankings	4	55	68	23	25
# of Funds in Category	424	433	451	512	494

Morningstar percentile rankings are based on total returns.

Morningstar category

Mid Cap Blend

Morningstar Style Box™

As of 11/30/2011

Investment style

Market capitalization	Value	Blend	Growth
Large			
Medium			■
Small			

Risk and Return Statistics

as of 12/31/2011 Relative to Russell Midcap Index

	3Yr	5Yr
Alpha	3.89	2.67
Beta	0.78	0.82
R-Squared	94.74	95.26
Standard Deviation	17.49	19.10
Mean	20.33	4.45
Sharpe Ratio	1.14	0.26
Excess Return	0.16	3.04
Tracking Error	6.28	5.88
Information Ratio	0.02	0.52

Operations

Total Investment Expense Net	1.39%
Total Investment Expense Gross	1.39%
Inception Date	12/06/2000
Total Net Assets (mil)	$2,042.97
12b-1 Fees	0.30%
Ticker	PMBNX

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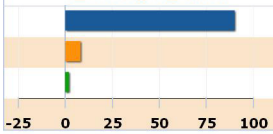
Risk and return statistical data is calculated by Morningstar, Inc. Excess Return is calculated by Principal Life Insurance Company.

MidCap Blend R2 Fund as of 12/31/2011

Portfolio information†

Composition as of 11/30/2011



Asset Distribution	Asset Type	Net %	Short %	Long %
	U.S. Stocks	90.08	0.00	90.08
	Non-U.S. Stocks	8.05	0.00	8.05
	Cash	1.87	0.11	1.98

Top ten holdings	% of net assets
1. Liberty Media Corporation A	3.54
2. O'Reilly Automotive Inc	3.15
3. Loews Corporation	2.66
4. Brookfield Asset Management Inc Class A	2.57
5. Laboratory Corporation of America Holdings	2.44
6. Williams Companies Inc	2.43
7. TJX Companies	2.37
8. Franco-Nevada Corp	2.27
9. Markel Corporation	2.25
10. EOG Resources	2.15
% of net assets in top ten holdings*	25.83

Analysis

# of Stock Hldgs	95
# of Bond Hldgs	0
# of Other Hldgs	4
AvgMktCap (mil)	$7,996.03
Turnover Ratio	33%
P/C Ratio	9.35
P/E Ratio	14.62
P/B Ratio	1.72

Stock Sector Breakdown

	% of net assets		% of net assets		% of net assets
Cyclical	**48.72**	**Defensive**	**18.27**	**Sensitive**	**33.01**
Consumer Cyclical	20.18	Healthcare	9.54	Technology	7.02
Basic Materials	3.71	Consumer Defensive	6.78	Industrials	11.95
Financial Svcs	19.35	Utilities	1.95	Energy	9.45
Real Estate	5.48			Comm Svcs	4.59

Returns shown for periods of less than one year are not annualized. Annualized total returns measure net investment income and capital gain or loss from portfolio investments as an annualized average, assuming the reinvestment of dividends, and without adjusting for loads.

Insurance products and plan administrative services, if applicable, are provided by Principal Life Insurance Company. Principal mutual funds are part of the Principal Funds, Inc. series. Principal Funds, Inc. is distributed by Principal Funds Distributor, Inc. Securities are offered through Princor Financial Services Corporation, 800-547-7754, member SIPC, and/or independent broker/dealers. Securities sold by a Princor® Registered Representative are offered through Princor. Principal Funds Distributor, Princor and Principal Life are members of the Principal Financial Group®, Des Moines, IA 50392. Certain investment options may not be available in all states or U.S. commonwealths.

The full name of this investment option is Principal MidCap Blend R2 Fund.

Investors should carefully consider a mutual fund's investment objectives, risks, charges and expenses prior to investing. A prospectus, or summary prospectus if available, containing this and other information can be obtained by contacting a financial professional, visiting principal.com, or by calling 800-547-7754. Read the prospectus carefully before investing.

Russell Midcap Index includes firms 201 through 1000, based on market capitalization, from the Russell 3000 Index.

Alpha - The difference between an investment's actual returns and its expected performance, given its level of risk (as measured by beta). **Beta** - An investment's sensitivity to market movements. **R-squared** - Ranges from 0 to 100 and reveals how closely an investment's returns track those of a benchmark index. **Standard Deviation** - Measures how much an investment's returns are likely to fluctuate. **Mean** - Represents the annualized total return for a fund over 3 and 5 years. **Sharpe Ratio** - Measures how an investment balances risks and rewards. The higher the Sharpe ratio, the better the investment's historical risk-adjusted performance. **Excess Return** - The difference between a manager's return and the return of an external standard such as a passive index. **Tracking Error** - The standard deviation or volatility of excess returns. **Information Ratio** - A risk-adjusted measure commonly used to evaluate an active manager's involvement skill. It's defined as the manager's excess return divided by the variability or standard deviation of the excess return.

Average Market Cap - The overall "size" of a stock investment option's portfolio. It is the geometric mean of the market capitalization for all of the stocks it owns and is calculated by raising the market capitaliation of each stock to a power equal to that stock's stake in the portfolio. The resulting numbers are multiplied together to produce the geometric mean of the market caps of the stocks in the portfolio, which is reported as average market capitalization. **Price/Cash Flow Ratio** - An investment option's current price divided by the trailing 12 month cash flow per share. **Price/Earnings Ratio** - The weighted average of the price/earnings ratios of the stocks in an investment option's portfolio. The P/E ratio of a stock is calculated by dividing the current price of the stock by its trailing 12 months' earnings per share. **Price/Book Ratio** - The weighted average of the price/book ratios of all the stocks in an investment option's portfolio. The P/B ratio of a company is calculated by dividing the market price of its stock by the company's per-share book value. Stocks with negative book values are excluded from this calculation.

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Small-cap and mid-cap investment options are subject to more fluctuation in value and may have additional risks than other investment options with stocks of larger, more stable companies.

* Values may exceed 100% if both long and short positions are included in the portfolio.

SmallCap S&P 600 Index R2 Fund as of 12/31/2011

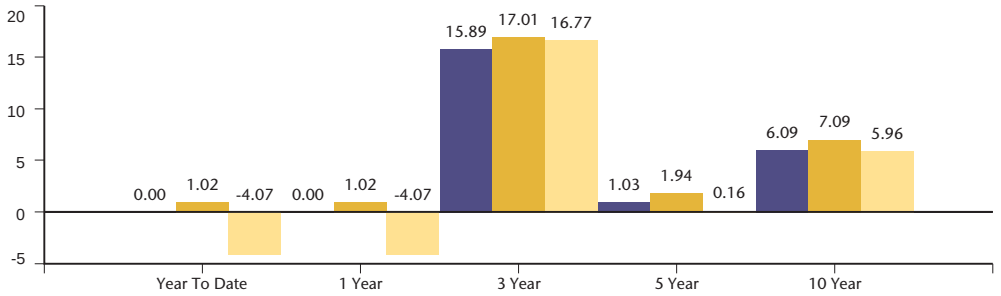
Investment Strategy

The investment seeks long-term growth of capital. The fund invests at least 80% of net assets in equity securities of companies that compose the Standard & Poor's ("S&P") SmallCap 600 Index at the time of purchase. It employs a passive investment approach designed to attempt to track the performance of the index. The fund invests in index futures and options and exchange-traded funds ("ETFs") on a daily basis to gain exposure to the index in an effort to minimize tracking error relative to the benchmark.

Portfolio managers

Thomas L. Kruchten, CFA. Since 03/01/2011. B.A., University of Northern Iowa

Long-term returns % as of 12/31/2011



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Long Term Returns	Year To Date	1 Year	3 Year	5 Year	10 Year
Total Return %	0.00	0.00	15.89	1.03	6.09
Standard & Poor's 600 Stock Index %	1.02	1.02	17.01	1.94	7.09
Small Blend Category %	-4.07	-4.07	16.77	0.16	5.96
Morningstar Percentile Rankings	-	15	52	40	45
# of Funds in Category	650	650	580	485	296
Annual Returns	**2011**	**2010**	**2009**	**2008**	**2007**
Total Return %	0.00	24.90	24.62	-31.64	-1.09
Standard & Poor's 600 Stock Index %	1.02	26.31	25.57	-31.07	-0.30
Small Blend Category %	-4.07	25.61	31.80	-36.56	-1.10
Morningstar Percentile Rankings	15	57	79	21	43
# of Funds in Category	650	649	649	670	645

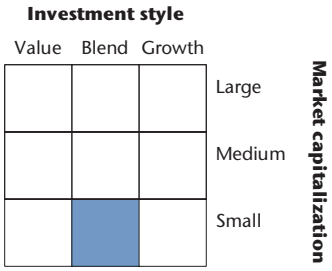
Morningstar percentile rankings are based on total returns.

Morningstar category

Small Blend

Morningstar Style Box™

As of 11/30/2011



Risk and Return Statistics

as of 12/31/2011 Relative to Standard & Poor's 600 Stock Index

	3Yr	5Yr
Alpha	-0.92	-0.92
Beta	0.99	0.99
R-Squared	99.99	99.99
Standard Deviation	24.91	23.77
Mean	15.89	1.03
Sharpe Ratio	0.71	0.11
Excess Return	-1.12	-0.91
Tracking Error	0.24	0.22
Information Ratio	-4.76	-4.24

Operations

Total Investment Expense Net	0.92%
Total Investment Expense Gross	0.92%
Inception Date	12/06/2000
Total Net Assets (mil)	$467.46
12b-1 Fees	0.30%
Ticker	PSSNX

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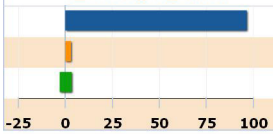
SmallCap S&P 600 Index R2 Fund as of 12/31/2011

Portfolio information†

Composition as of 11/30/2011



Asset Type	Net %	Short %	Long %
U.S. Stocks	96.60	0.00	96.60
Non-U.S. Stocks	2.98	0.00	2.98
Cash	0.42	2.97	3.38

Top ten holdings

		% of net assets
1.	Russell 2000 Mini Dec11	2.97
2.	Regeneron Pharmaceuticals, Inc.	0.92
3.	iShares S&P SmallCap 600 Index	0.89
4.	Healthspring, Inc.	0.76
5.	World Fuel Services Corporation	0.63
6.	Questcor Pharmaceuticals, Inc.	0.58
7.	BioMed Realty Trust Inc	0.56
8.	Salix Pharmaceuticals, Ltd.	0.54
9.	HMS Holdings Corporation	0.53
10.	National Retail Properties Inc	0.51
	% of net assets in top ten holdings*	8.90

Analysis

# of Stock Hldgs	601
# of Bond Hldgs	0
# of Other Hldgs	7
AvgMktCap (mil)	$1,044.46
Turnover Ratio	19%
P/C Ratio	6.76
P/E Ratio	16.87
P/B Ratio	1.64

Stock Sector Breakdown

	% of net assets		% of net assets		% of net assets
Cyclical	**38.64**	**Defensive**	**20.14**	**Sensitive**	**41.22**
Consumer Cyclical	14.90	Healthcare	10.73	Technology	18.00
Basic Materials	4.94	Consumer Defensive	4.97	Industrials	18.26
Financial Svcs	10.89	Utilities	4.44	Energy	4.27
Real Estate	7.91			Comm Svcs	0.69

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Standard & Poor's 600 Stock Index is a small cap index that consists of 600 domestic stocks chosen for market size, liquidity, and industry group representation.

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Each index based investment option is invested in the stocks or bonds of the index it tracks. Performance of indexes reflects the unmanaged results for the market segment the selected stocks or bonds represent. There is no assurance an index based investment option will match the performance of the index tracked.

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American Funds Growth Fund of America R3 Fund as of 12/31/2011

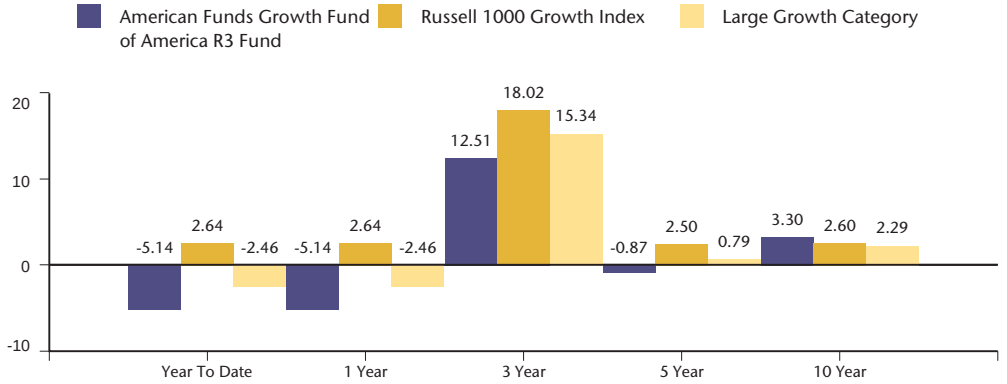
Investment Strategy

The investment seeks capital growth. The fund invests primarily in common stocks and seeks to invest in companies that appear to offer superior opportunities for growth of capital. It may invest a portion of its assets in securities of issuers domiciled outside the U.S. The investment adviser uses a system of multiple portfolio counselors in managing the fund's assets.

Portfolio managers

James E. Drasdo Since 11/01/1985.
James F. Rothenberg, CFA. Since 11/01/1988. M.B.A., Harvard University
Gordon Crawford, CFA. Since 11/01/1991. M.B.A., Darlen School
Don D. O'Neal Since 11/01/1993.
Gregg E. Ireland Since 11/01/2004.

Long-term returns % as of 12/31/2011



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Long Term Returns	Year To Date	1 Year	3 Year	5 Year	10 Year
Total Return %	-5.14	-5.14	12.51	-0.87	3.30
Russell 1000 Growth Index %	2.64	2.64	18.02	2.50	2.60
Large Growth Category %	-2.46	-2.46	15.34	0.79	2.29
Morningstar Percentile Rankings	-	75	81	79	25
# of Funds in Category	1683	1683	1478	1279	804
Annual Returns	**2011**	**2010**	**2009**	**2008**	**2007**
Total Return %	-5.14	11.95	34.12	-39.24	10.59
Russell 1000 Growth Index %	2.64	16.71	37.21	-38.44	11.81
Large Growth Category %	-2.46	15.53	35.68	-40.67	13.35
Morningstar Percentile Rankings	75	80	51	40	66
# of Funds in Category	1683	1718	1796	1809	1748

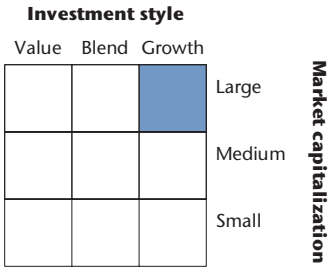
Morningstar percentile rankings are based on total returns.

Morningstar category

Large Growth

Morningstar Style Box™

As of 09/30/2011



Risk and Return Statistics

as of 12/31/2011 Relative to Russell 1000 Growth Index

	3Yr	5Yr
Alpha	-4.68	-3.32
Beta	0.99	0.97
R-Squared	98.00	97.90
Standard Deviation	18.06	18.78
Mean	12.51	-0.87
Sharpe Ratio	0.74	-0.02
Excess Return	-5.51	-3.37
Tracking Error	2.56	2.77
Information Ratio	-2.15	-1.22

Operations

Total Investment Expense Net	0.97%
Total Investment Expense Gross	0.97%
Inception Date	05/21/2002
Extended Performance Inception Date#	01/01/1959
Total Net Assets (mil)	$128,383.75
12b-1 Fees	0.50%
Ticker	RGACX

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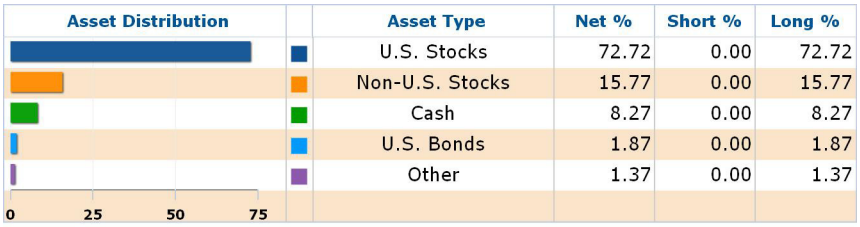
American Funds Growth Fund of America R3 Fund as of 12/31/2011

Portfolio information†

Composition as of 09/30/2011



Asset Type	Net %	Short %	Long %
U.S. Stocks	72.72	0.00	72.72
Non-U.S. Stocks	15.77	0.00	15.77
Cash	8.27	0.00	8.27
U.S. Bonds	1.87	0.00	1.87
Other	1.37	0.00	1.37

Top ten holdings

	% of net assets
1. Apple, Inc.	4.24
2. Oracle Corporation	2.31
3. Amazon.com Inc	2.24
4. Microsoft Corporation	1.68
5. Home Depot, Inc.	1.58
6. DIRECTV	1.47
7. US Treasury Bond 3.75%	1.39
8. Philip Morris International, Inc.	1.34
9. Costco Wholesale Corporation	1.33
10. Google, Inc.	1.26
% of net assets in top ten holdings*	18.85

Analysis

# of Stock Hldgs	308
# of Bond Hldgs	10
# of Other Hldgs	155
AvgMktCap (mil)	$32,245.97
Turnover Ratio	34%
P/C Ratio	6.04
P/E Ratio	12.43
P/B Ratio	1.95

Stock Sector Breakdown

	% of net assets		% of net assets		% of net assets
Cyclical	**28.74**	**Defensive**	**19.89**	**Sensitive**	**51.37**
Consumer Cyclical	13.45	Healthcare	12.72	Technology	21.39
Basic Materials	6.54	Consumer Defensive	6.99	Industrials	11.94
Financial Svcs	8.74	Utilities	0.18	Energy	10.94
Real Estate	0.01			Comm Svcs	7.10

Returns shown for periods of less than one year are not annualized. Annualized total returns measure net investment income and capital gain or loss from portfolio investments as an annualized average, assuming the reinvestment of dividends, and without adjusting for loads.

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Investors should carefully consider a mutual fund's investment objectives, risks, charges and expenses prior to investing. A prospectus, or summary prospectus if available, containing this and other information can be obtained by contacting a financial professional, visiting principal.com, or by calling 800-547-7754. Read the prospectus carefully before investing.

Russell 1000 Growth Index is a market-capitalization weighted index of those firms in the Russell 1000 with higher price-to-book ratios and higher forecasted growth values.

Alpha - The difference between an investment's actual returns and its expected performance, given its level of risk (as measured by beta). **Beta** - An investment's sensitivity to market movements. **R-squared** - Ranges from 0 to 100 and reveals how closely an investment's returns track those of a benchmark index. **Standard Deviation** - Measures how much an investment's returns are likely to fluctuate. **Mean** - Represents the annualized total return for a fund over 3 and 5 years. **Sharpe Ratio** - Measures how an investment balances risks and rewards. The higher the Sharpe ratio, the better the investment's historical risk-adjusted performance. **Excess Return** - The difference between a manager's return and the return of an external standard such as a passive index. **Tracking Error** - The standard deviation or volatility of excess returns. **Information Ratio** - A risk-adjusted measure commonly used to evaluate an active manager's involvement skill. It's defined as the manager's excess return divided by the variability or standard deviation of the excess return.

Average Market Cap - The overall "size" of a stock investment option's portfolio. It is the geometric mean of the market capitalization for all of the stocks it owns and is calculated by raising the market capitaliation of each stock to a power equal to that stock's stake in the portfolio. The resulting numbers are multiplied together to produce the geometric mean of the market caps of the stocks in the portfolio, which is reported as average market capitalization. **Price/Cash Flow Ratio** - An investment option's current price divided by the trailing 12 month cash flow per share. **Price/Earnings Ratio** - The weighted average of the price/earnings ratios of the stocks in an investment option's portfolio. The P/E ratio of a stock is calculated by dividing the current price of the stock by its trailing 12 months' earnings per share. **Price/Book Ratio** - The weighted average of the price/book ratios of all the stocks in an investment option's portfolio. The P/B ratio of a company is calculated by dividing the market price of its stock by the company's per-share book value. Stocks with negative book values are excluded from this calculation.

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* Values may exceed 100% if both long and short positions are included in the portfolio.

Putnam International Equity A Fund as of 12/31/2011

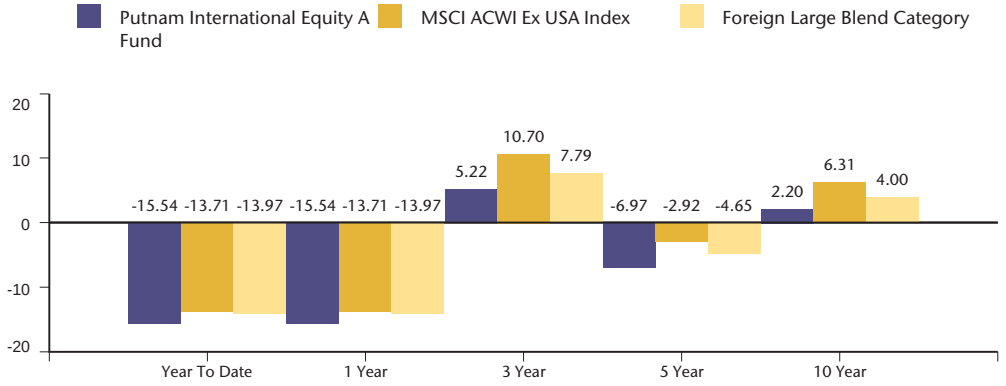
Investment Strategy

The investment seeks capital appreciation. The fund invests mainly in common stocks of large and midsize companies outside the United States that the advisor believes have favorable investment potential.It invests mainly in developed countries. The fund may invest in emerging markets.It may also use derivatives, such as futures, options, certain foreign currency transactions, warrants and swap contracts, for both hedging and non-hedging purposes.

Portfolio managers

Simon Davis Since 02/11/2011. B.A., University of Oxford

Long-term returns % as of 12/31/2011



Performance disclosure

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Long Term Returns	Year To Date	1 Year	3 Year	5 Year	10 Year
Total Return %	-15.54	-15.54	5.22	-6.97	2.20
MSCI ACWI Ex USA Index %	-13.71	-13.71	10.70	-2.92	6.31
Foreign Large Blend Category %	-13.97	-13.97	7.79	-4.65	4.00
Morningstar Percentile Rankings	-	73	80	85	83
# of Funds in Category	817	817	737	563	317

Annual Returns	2011	2010	2009	2008	2007
Total Return %	-15.54	10.09	25.27	-44.84	8.44
MSCI ACWI Ex USA Index %	-13.71	11.15	41.45	-45.53	16.65
Foreign Large Blend Category %	-13.97	10.24	31.24	-43.99	12.71
Morningstar Percentile Rankings	73	50	80	60	81
# of Funds in Category	817	829	823	778	743

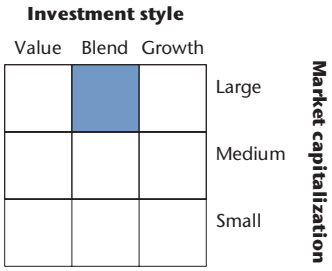
Morningstar percentile rankings are based on total returns.

Morningstar category

Foreign Large Blend

Morningstar Style Box™

As of 09/30/2011



Risk and Return Statistics

as of 12/31/2011 Relative to MSCI ACWI Ex USA Index

	3Yr	5Yr
Alpha	-5.32	-4.11
Beta	1.05	1.00
R-Squared	95.77	96.31
Standard Deviation	24.73	24.16
Mean	5.22	-6.97
Sharpe Ratio	0.32	-0.23
Excess Return	-5.47	-4.05
Tracking Error	5.22	4.64
Information Ratio	-1.05	-0.87

Operations

Total Investment Expense Net	1.37%
Total Investment Expense Gross	1.37%
Inception Date	02/28/1991
Total Net Assets (mil)	$1,067.04
12b-1 Fees	0.25%
Ticker	POVSX

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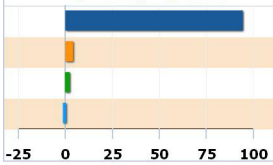
Putnam International Equity A Fund as of 12/31/2011

Portfolio information†

Composition as of 09/30/2011



Asset Type	Net %	Short %	Long %
Non-U.S. Stocks	94.40	0.00	94.40
U.S. Stocks	4.19	0.00	4.19
Cash	2.24	0.14	2.39
Other	-0.84	1.31	0.47

Top ten holdings	% of net assets
1. Sanofi	2.99
2. Rio Tinto PLC	2.52
3. Royal Dutch Shell PLC	2.42
4. Anheuser-Busch InBev SA	2.25
5. NTT DoCoMo, Inc.	2.17
6. BG Group PLC	2.15
7. Orix Corporation	2.13
8. Reckitt Benckiser Group PLC	2.12
9. Christian Dior SA	1.93
10. Nissan Motor	1.92
% of net assets in top ten holdings*	22.60

Analysis	
# of Stock Hldgs	90
# of Bond Hldgs	0
# of Other Hldgs	57
AvgMktCap (mil)	$22,916.72
Turnover Ratio	80%
P/C Ratio	3.77
P/E Ratio	8.73
P/B Ratio	1.05

Top 5 Countries	% of net assets
United Kingdom	25.52
Japan	24.13
France	11.86
Germany	10.83
China	4.87

Regional exposure	% of net assets
Europe	55.08
Japan	24.13
Pacific Rim	11.20
Other	5.05
United States	4.25
Latin America	0.29

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International and global investment options are subject to additional risk due to fluctuating exchange rates, foreign accounting and financial policies, and other economic and political environments.

* Values may exceed 100% if both long and short positions are included in the portfolio.

Russell Investment Grade Bond E Fund as of 12/31/2011

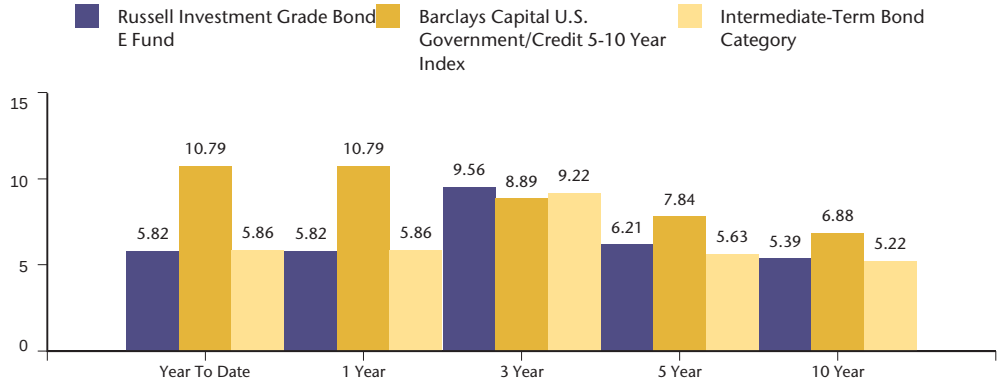
Investment Strategy

The investment seeks to provide current income and the preservation of capital. The fund invests in bonds, securities of "investment grade" quality. It invests a significant portion of assets in mortgage related securities, including mortgage-backed securities. The fund also invests in (1) U.S. and non-U.S. corporate debt securities, (2) Yankee Bonds (3) fixed income securities issued or guaranteed by the U.S. government and, to a lesser extent by non-U.S. governments, and (4) asset-backed securities. It also invests in variable, floating rate securities and derivatives, including credit default swaps. The fund purchases loans and other direct indebtedness.

Portfolio managers

Keith Brakebill Since 08/01/2011.

Long-term returns % as of 12/31/2011



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Long Term Returns	Year To Date	1 Year	3 Year	5 Year	10 Year
Total Return %	5.82	5.82	9.56	6.21	5.39
Barclays Capital U.S. Government/Credit 5-10 Year Index %	10.79	10.79	8.89	7.84	6.88
Intermediate-Term Bond Category %	5.86	5.86	9.22	5.63	5.22
Morningstar Percentile Rankings	-	61	42	40	44
# of Funds in Category	1195	1195	1018	873	582

Annual Returns	2011	2010	2009	2008	2007
Total Return %	5.82	8.39	14.64	-3.00	5.95
Barclays Capital U.S. Government/Credit 5-10 Year Index %	10.79	9.42	6.50	5.06	7.55
Intermediate-Term Bond Category %	5.86	7.72	13.97	-4.70	4.70
Morningstar Percentile Rankings	61	31	40	47	30
# of Funds in Category	1195	1164	1123	1135	1097

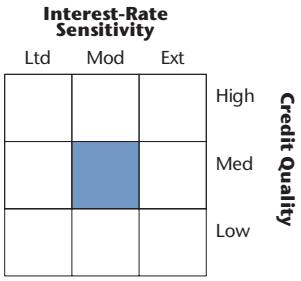
Morningstar percentile rankings are based on total returns.

Morningstar category

Intermediate-Term Bond

Morningstar Style Box™ **

As of 10/31/2011



Risk and Return Statistics

as of 12/31/2011 Relative to Barclays Capital U.S. Government/Credit 5-10 Year Index

	3Yr	5Yr
Alpha	4.33	1.06
Beta	0.56	0.58
R-Squared	55.50	64.62
Standard Deviation	3.45	4.23
Mean	9.56	6.21
Sharpe Ratio	2.64	1.11
Excess Return	0.66	-1.63
Tracking Error	3.06	3.57
Information Ratio	0.22	-0.46

Operations

Total Investment Expense Net	0.73%
Total Investment Expense Gross	0.80%
Waiver Expiration Date	02/29/2012
Inception Date	05/14/1999
Extended Performance Inception Date#	10/15/1981
Total Net Assets (mil)	$1,749.33
12b-1 Fees	-
Ticker	RFAEX

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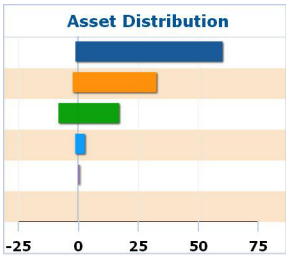
Russell Investment Grade Bond E Fund as of 12/31/2011

Portfolio information†

Composition as of 10/31/2011



Asset Type	Net %	Short %	Long %
U.S. Bonds	58.97	1.18	60.15
Cash	30.29	2.36	32.65
Non-U.S. Bonds	8.77	8.28	17.05
Other	1.49	1.26	2.75
Preferred	0.51	0.00	0.51
Non-U.S. Stocks	-0.01	0.03	0.01

Top ten holdings	% of net assets
1. Russell U.S. Cash Management Fund	9.74
2. FHLMC 1%	2.44
3. FNMA	2.21
4. FNMA	1.31
5. United States Treasury 2 Year Note Futures	1.22
6. US Treasury Bond 3.75%	1.17
7. United States Treasury 5 Year Note Futures	1.12
8. United States Treasury 2 Year Note Futures	1.02
9. United States Treasury 10 Year Note Futures	1.01
10. FNMA	0.97
% of net assets in top ten holdings*	22.21

Analysis

# of Stock Hldgs	1
# of Bond Hldgs	1892
# of Other Hldgs	145
Turnover Ratio	187%

Credit Analysis

As of 09/30/2011

	% Bonds
AAA	37.67
AA	33.91
A	13.16
BBB	11.25
BB	1.31
B	0.74
Below B	1.55
Not Rated	0.41

Statistics

Avg Eff Duration (Yrs)	4.37
Avg Eff Maturity (Yrs)	0.00
Avg Weighted Price	104.88

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**The Morningstar Style Box™ reveals an investment option's investment strategy.

For equity investment options the vertical axis shows the market capitalization of the stocks owned and the horizontal axis shows investment style (value, blend, or growth).

For fixed-income investment options, the vertical axis shows the credit quality of the bonds owned and the horizontal axis shows interest rate sensitivity as measured by a bond's effective duration.

Morningstar seeks credit rating information from fund companies on a periodic basis (e.g., quarterly). In compiling credit rating information, Morningstar instructs fund companies to only use ratings that have been assigned by a Nationally Recognized Statistical Rating Organization (NRSRO). If two NRSROs have rated a security, fund companies are to report the lowest rating; if three or more NRSROs have rated the same security differently, fund companies are to report the rating that is in the middle. For example, if NRSRO X rates a security AA-, NRSRO Y rates the same security an A and NRSRO Z rates it a BBB+, the fund company should use the credit rating of 'A' in its reporting to Morningstar. PLEASE NOTE: Morningstar, Inc. is not itself an NRSRO nor does it issue a credit rating on the investment option. An NRSRO rating on a fixed-income security can change from time-to-time.

For credit quality, Morningstar combines the credit rating information provided by the fund companies with an average default rate calculation to come up with a weighted-average credit quality. The weighted-average credit quality is currently a letter that roughly corresponds to the scale used by a leading NRSRO. Bond investment options are assigned a style box placement of "low", "medium", or "high" based on their average credit quality. Investment options with a low credit quality are those whose weighted-average credit quality is determined to be less than "BBB-"; medium are those less than "AA-", but greater or equal to "BBB-"; and high are those with a weighted-average credit quality of "AA-" or higher. When classifying a bond portfolio, Morningstar first maps the NRSRO credit ratings of the underlying holdings to their respective default rates (as determined by Morningstar's analysis of actual historical default rates). Morningstar then averages these default rates to determine the average default rate for the entire bond investment option. Finally, Morningstar maps this average default rate to its corresponding credit rating along a convex curve.

For interest-rate sensitivity, Morningstar obtains from fund companies the average effective duration. Generally, Morningstar classifies a fixed-income investment option's interest-rate sensitivity based on the effective duration of the Morningstar Core Bond Index (MCBI), which is currently three years. The classification of Limited will be assigned to those investment options whose average effective duration is between 25% to 75% of MCBI's average effective duration; investment options whose average effective duration is between 75% to 125% of the MCBI will be classified as Moderate; and those that are at 125% or greater of the average effective duration of the MCBI will be classified as Extensive.

For municipal bond funds, Morningstar also obtains from fund companies the average effective duration. In these cases static breakpoints are utilized. These breakpoints are as follows: (i) Limited: 4.5 years or less; (ii) Moderate: more than 4.5 years but less than 7 years; and (iii) Extensive: more than 7 years. In addition, for non-US taxable and non-US domiciled fixed income funds static duration breakpoints are used: (i) Limited: less than or equal to 3.5 years; (ii) Moderate: greater than 3.5 and less than or equal to 6 years; (iii) Extensive: greater than 6 years.

The credit analysis shows the percentage of fixed-income securities that fall within each credit-quality rating, as assigned by Standard & Poor's or Moody's, and depicts the quality of bonds in the portfolio. Higher ratings indicate a lower credit risk, and lower ratings indicate a higher credit risk. Per the Morningstar Fixed Income Survey guidelines, if two rating agencies rate a security, then the lowest rating is used. The credit analysis may not reflect the current portfolio composition. AAA-rated securities include cash and cash equivalents.

Barclays Capital U.S. Government/Credit 5-10 Year Index tracks the return of the U.S. Government/Credit with a maturity window of 5-10 years.

Alpha - The difference between an investment's actual returns and its expected performance, given its level of risk (as measured by beta). **Beta** - An investment's sensitivity to market movements. **R-squared** - Ranges from 0 to 100 and reveals how closely an investment's returns track those of a benchmark index. **Standard Deviation** - Measures how much an investment's returns are likely to fluctuate. **Mean** - Represents the annualized total return for a fund over 3 and 5 years. **Sharpe Ratio** - Measures how an investment balances risks and rewards. The higher the Sharpe ratio, the better the investment's historical risk-adjusted performance. **Excess Return** - The difference between a manager's return and the return of an external standard such as a passive index. **Tracking Error** - The standard deviation or volatility of excess returns. **Information Ratio** - A risk-adjusted measure commonly used to evaluate an active manager's involvement skill. It's defined as the manager's excess return divided by the variability or standard deviation of the excess return.

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Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise. Neither the principal of bond investment options nor their yields are guaranteed by the U.S. government.

Fixed-income and asset allocation investment options that invest in mortgage securities are subject to increased risk due to real estate exposure.

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MFS Growth R2 Fund as of 12/31/2011

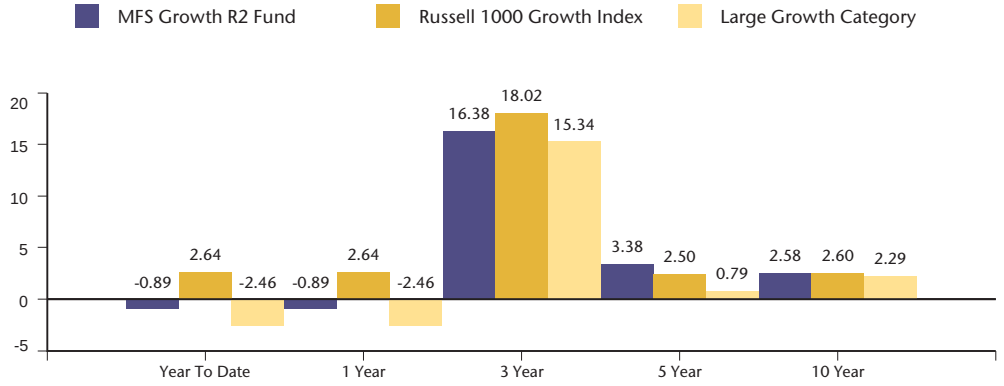
Investment Strategy

The investment seeks capital appreciation. The fund normally invests in equity securities. Equity securities include common stocks, preferred stocks, securities convertible into stocks, and depositary receipts for those securities. The adviser focuses on investing the fund's assets in the stocks of companies it believes to have above average earnings growth potential compared to other companies (growth companies). The fund may invest the fund's assets in companies of any size and may invest the fund's assets in foreign securities.

Portfolio managers

Eric B. Fischman Since 04/02/2002. M.B.A., Columbia University

Long-term returns % as of 12/31/2011



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Long Term Returns	Year To Date	1 Year	3 Year	5 Year	10 Year
Total Return %	-0.89	-0.89	16.38	3.38	2.58
Russell 1000 Growth Index %	2.64	2.64	18.02	2.50	2.60
Large Growth Category %	-2.46	-2.46	15.34	0.79	2.29
Morningstar Percentile Rankings	-	38	33	12	42
# of Funds in Category	1683	1683	1478	1279	804
Annual Returns	**2011**	**2010**	**2009**	**2008**	**2007**
Total Return %	-0.89	15.41	37.82	-37.77	20.39
Russell 1000 Growth Index %	2.64	16.71	37.21	-38.44	11.81
Large Growth Category %	-2.46	15.53	35.68	-40.67	13.35
Morningstar Percentile Rankings	38	49	35	27	17
# of Funds in Category	1683	1718	1796	1809	1748

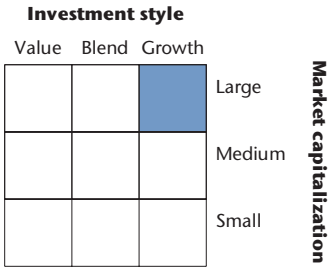
Morningstar percentile rankings are based on total returns.

Morningstar category

Large Growth

Morningstar Style Box™

As of 11/30/2011



Risk and Return Statistics

as of 12/31/2011 Relative to Russell 1000 Growth Index

	3Yr	5Yr
Alpha	-1.27	0.91
Beta	0.99	0.98
R-Squared	97.47	96.79
Standard Deviation	18.12	19.14
Mean	16.38	3.38
Sharpe Ratio	0.92	0.20
Excess Return	-1.64	0.87
Tracking Error	2.89	3.44
Information Ratio	-0.56	0.26

Operations

Total Investment Expense Net	1.45%
Total Investment Expense Gross	1.45%
Inception Date	10/31/2003
Extended Performance Inception Date#	12/29/1986
Total Net Assets (mil)	$3,948.33
12b-1 Fees	0.50%
Ticker	MEGRX

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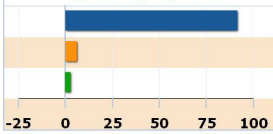
Risk and return statistical data is calculated by Morningstar, Inc. Excess Return is calculated by Principal Life Insurance Company.

MFS Growth R2 Fund as of 12/31/2011

Portfolio information†

Composition as of 11/30/2011



Asset Type	Net %	Short %	Long %
U.S. Stocks	91.45	0.00	91.45
Non-U.S. Stocks	6.04	0.00	6.04
Cash	2.51	0.19	2.70

Top ten holdings	% of net assets
1. Apple, Inc.	6.56
2. Google, Inc.	4.20
3. Danaher Corporation	3.17
4. Oracle Corporation	3.16
5. EMC Corporation	2.54
6. Qualcomm, Inc.	2.44
7. American Tower Corp A	2.43
8. Precision Castparts Corp.	1.77
9. Viacom, Inc. B	1.72
10. MasterCard Incorporated A	1.71
% of net assets in top ten holdings*	29.70

Analysis

# of Stock Hldgs	101
# of Bond Hldgs	0
# of Other Hldgs	1
AvgMktCap (mil)	$31,765.37
Turnover Ratio	103%
P/C Ratio	11.81
P/E Ratio	17.70
P/B Ratio	3.17

Stock Sector Breakdown

	% of net assets		% of net assets		% of net assets
Cyclical	**20.69**	**Defensive**	**19.89**	**Sensitive**	**59.42**
Consumer Cyclical	13.98	Healthcare	8.72	Technology	29.41
Basic Materials	1.81	Consumer Defensive	11.17	Industrials	15.26
Financial Svcs	4.61	Utilities	0.00	Energy	11.22
Real Estate	0.29			Comm Svcs	3.53

Returns shown for periods of less than one year are not annualized. Annualized total returns measure net investment income and capital gain or loss from portfolio investments as an annualized average, assuming the reinvestment of dividends, and without adjusting for loads.

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Russell 1000 Growth Index is a market-capitalization weighted index of those firms in the Russell 1000 with higher price-to-book ratios and higher forecasted growth values.

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Average Market Cap - The overall "size" of a stock investment option's portfolio. It is the geometric mean of the market capitalization for all of the stocks it owns and is calculated by raising the market capitaliation of each stock to a power equal to that stock's stake in the portfolio. The resulting numbers are multiplied together to produce the geometric mean of the market caps of the stocks in the portfolio, which is reported as average market capitalization. **Price/Cash Flow Ratio** - An investment option's current price divided by the trailing 12 month cash flow per share. **Price/Earnings Ratio** - The weighted average of the price/earnings ratios of the stocks in an investment option's portfolio. The P/E ratio of a stock is calculated by dividing the current price of the stock by its trailing 12 months' earnings per share. **Price/Book Ratio** - The weighted average of the price/book ratios of all the stocks in an investment option's portfolio. The P/B ratio of a company is calculated by dividing the market price of its stock by the company's per-share book value. Stocks with negative book values are excluded from this calculation.

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* Values may exceed 100% if both long and short positions are included in the portfolio.

MFS International Value R2 Fund as of 12/31/2011

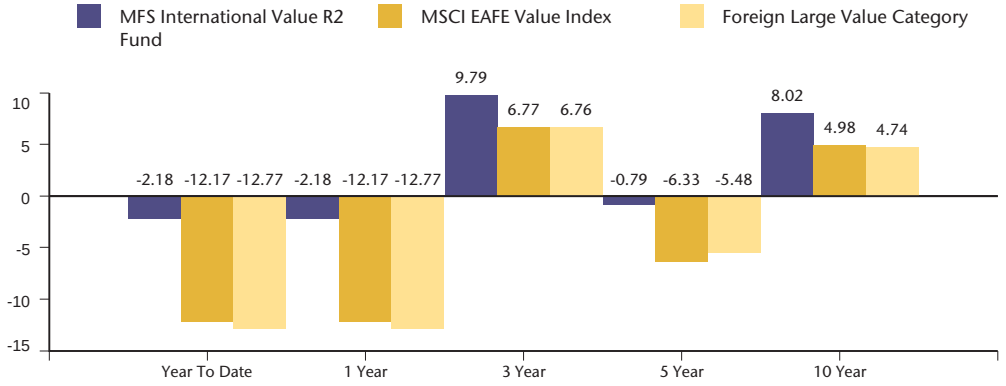
Investment Strategy

The investment seeks capital appreciation. The fund normally invests assets primarily in foreign equity securities, including emerging-market equity securities. It may invest a relatively high percentage of the fund's assets in a single country, a small number of countries, or a particular geographic region. The fund focuses on investing assets in the stocks of companies that it believes are undervalued compared to their perceived worth.

Portfolio managers

Barnaby Wiener Since 10/23/2003. , University of Oxford
Benjamin Stone Since 11/20/2008.

Long-term returns % as of 12/31/2011



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Long Term Returns	Year To Date	1 Year	3 Year	5 Year	10 Year
Total Return %	-2.18	-2.18	9.79	-0.79	8.02
MSCI EAFE Value Index %	-12.17	-12.17	6.77	-6.33	4.98
Foreign Large Value Category %	-12.77	-12.77	6.76	-5.48	4.74
Morningstar Percentile Rankings	-	4	14	4	4
# of Funds in Category	376	376	327	269	147

Annual Returns	2011	2010	2009	2008	2007
Total Return %	-2.18	8.86	24.26	-	-
MSCI EAFE Value Index %	-12.17	3.25	34.23	-44.09	5.96
Foreign Large Value Category %	-12.77	7.48	30.33	-42.41	9.01
Morningstar Percentile Rankings	4	33	74	-	-
# of Funds in Category	376	364	340	307	280

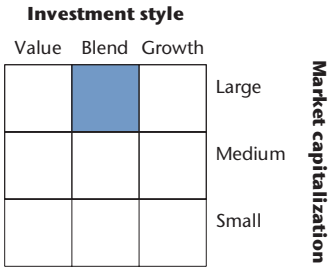
Morningstar percentile rankings are based on total returns.

Morningstar category

Foreign Large Value

Morningstar Style Box™

As of 11/30/2011



Risk and Return Statistics

as of 12/31/2011 Relative to MSCI EAFE Value Index

	3Yr	5Yr
Alpha	3.90	3.58
Beta	0.77	0.78
R-Squared	93.83	94.92
Standard Deviation	19.74	19.11
Mean	9.79	-0.79
Sharpe Ratio	0.56	-0.01
Excess Return	3.02	5.54
Tracking Error	7.54	6.84
Information Ratio	0.40	0.81

Operations

Total Investment Expense Net	1.53%
Total Investment Expense Gross	1.53%
Inception Date	10/01/2008
Extended Performance Inception Date#	10/24/1995
Total Net Assets (mil)	$3,962.55
12b-1 Fees	0.50%
Ticker	MINFX

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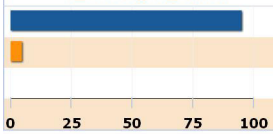
MFS International Value R2 Fund as of 12/31/2011

Portfolio information†

Composition as of 11/30/2011



Asset Distribution	Asset Type	Net %	Short %	Long %
	Non-U.S. Stocks	95.20	0.00	95.20
	Cash	4.78	0.00	4.78
	Other	0.02	0.00	0.02

Top ten holdings	% of net assets
1. GlaxoSmithKline PLC	3.18
2. Royal Dutch Shell PLC	3.07
3. KDDI Corp.	3.06
4. Vodafone Group PLC	2.99
5. Nestle SA	2.92
6. Heineken N.V.	2.82
7. BP PLC	2.80
8. British American Tobacco PLC	2.73
9. Kao Corporation	2.72
10. Roche Holding AG	2.40
% of net assets in top ten holdings*	28.69

Analysis	
# of Stock Hldgs	97
# of Bond Hldgs	0
# of Other Hldgs	3
AvgMktCap (mil)	$18,234.48
Turnover Ratio	24%
P/C Ratio	4.44
P/E Ratio	12.27
P/B Ratio	1.36

Top 5 Countries	% of net assets
United Kingdom	28.77
Japan	28.31
Switzerland	12.60
Germany	7.98
Netherlands	5.48

Regional exposure	% of net assets
Europe	65.51
Japan	28.31
Pacific Rim	6.18

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MSCI EAFE Value Index is a subset of the MSCI EAFE Index, which is an unmanaged index that measures the stock returns of companies in developed economies outside of North America. The MSCI EAFE Value Index consists of securities classified by MSCI as most representing the value style.

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* Values may exceed 100% if both long and short positions are included in the portfolio.

PIMCO Investment Grade Corporate Bond C Fund as of 12/31/2011

Investment Strategy

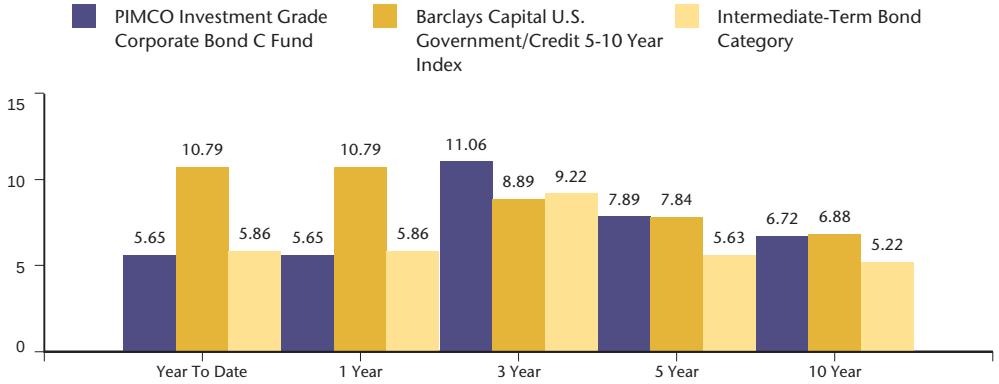
The investment seeks maximum total return consistent with preservation of capital and prudent investment management. The fund normally invests at least 80% of assets in a diversified portfolio of investment-grade corporate fixed-income securities of varying maturities. It invests primarily in investment-grade debt securities, but may invest up to 15% of total assets in high-yield securities ("junk bonds"). The fund may invest up to 30% of total assets in securities denominated in foreign currencies, and may invest beyond this limit in U.S. dollar-denominated securities of foreign issuers.

PIMCO

Portfolio managers

Mark Kiesel Since 11/30/2002. M.B.A., University of Chicago

Long-term returns % as of 12/31/2011



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Long Term Returns	Year To Date	1 Year	3 Year	5 Year	10 Year
Total Return %	5.65	5.65	11.06	7.89	6.72
Barclays Capital U.S. Government/Credit 5-10 Year Index %	10.79	10.79	8.89	7.84	6.88
Intermediate-Term Bond Category %	5.86	5.86	9.22	5.63	5.22
Morningstar Percentile Rankings	-	66	23	4	6
# of Funds in Category	1195	1195	1018	873	582
Annual Returns	**2011**	**2010**	**2009**	**2008**	**2007**
Total Return %	5.65	10.45	17.38	0.72	5.94
Barclays Capital U.S. Government/Credit 5-10 Year Index %	10.79	9.42	6.50	5.06	7.55
Intermediate-Term Bond Category %	5.86	7.72	13.97	-4.70	4.70
Morningstar Percentile Rankings	66	10	25	31	31
# of Funds in Category	1195	1164	1123	1135	1097

Morningstar percentile rankings are based on total returns.

Morningstar category

Intermediate-Term Bond

Morningstar Style Box™

Data not available

Risk and Return Statistics

as of 12/31/2011 Relative to Barclays Capital U.S. Government/Credit 5-10 Year Index

	3Yr	5Yr
Alpha	4.22	0.68
Beta	0.75	0.91
R-Squared	34.09	59.67
Standard Deviation	5.88	6.93
Mean	11.06	7.89
Sharpe Ratio	1.80	0.93
Excess Return	2.17	0.05
Tracking Error	4.91	4.49
Information Ratio	0.44	0.01

Operations

Total Investment Expense Net	1.65%
Total Investment Expense Gross	1.65%
Inception Date	07/30/2004
Extended Performance Inception Date#	04/28/2000
Total Net Assets (mil)	$7,163.82
12b-1 Fees	1.00%
Ticker	PBDCX

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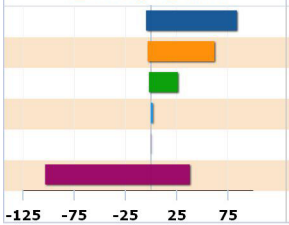
PIMCO Investment Grade Corporate Bond C Fund as of 12/31/2011

Portfolio information†

Composition as of 09/30/2011



Asset Type	Net %	Short %	Long %
Non-U.S. Bonds	79.41	4.68	84.09
U.S. Bonds	59.00	3.15	62.15
Other	24.70	1.80	26.50
Preferred	1.79	0.00	1.79
Convertibles	0.26	0.00	0.26
Cash	-65.15	103.25	38.10

Top ten holdings

		% of net assets
1.	Fin Fut Euribor Lif 06/16/14	9.47
2.	Pimco Fds Private Account Portfolio Ser	7.21
3.	Irs Brl Zcs R 11.53/Cdi 09/15/10 Hus	7.03
4.	US Treasury Bond 4.75%	5.60
5.	Dj Itraxx14eu2 Sp Bps	4.04
6.	FNMA	3.08
7.	Irs Eur P 2.5/6me 03/21/12 Fbf	2.84
8.	Irs Brl Zcs R 12.51/Cdi 05/04/11 Brc	2.25
9.	Irs Brl Zcs R 10.83/Cdi 09/15/11 Brc	2.22
10.	US Treasury Note 3.125%	2.21
	% of net assets in top ten holdings*	45.95

Analysis

# of Stock Hldgs	0
# of Bond Hldgs	825
# of Other Hldgs	404
Turnover Ratio	325%

Credit Analysis

As of	% Bonds
AAA	0.00
AA	0.00
A	0.00
BBB	0.00
BB	0.00
B	0.00
Below B	0.00
Not Rated	0.00

Statistics

	% of net assets
Avg Eff Duration (Yrs)	7.25
Avg Eff Maturity (Yrs)	12.05
Avg Weighted Price	135.44

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The credit analysis shows the percentage of fixed-income securities that fall within each credit-quality rating, as assigned by Standard & Poor's or Moody's, and depicts the quality of bonds in the portfolio. Higher ratings indicate a lower credit risk, and lower ratings indicate a higher credit risk. Per the Morningstar Fixed Income Survey guidelines, if two rating agencies rate a security, then the lowest rating is used. The credit analysis may not reflect the current portfolio composition. AAA-rated securities include cash and cash equivalents.

Barclays Capital U.S. Government/Credit 5-10 Year Index tracks the return of the U.S. Government/Credit with a maturity window of 5-10 years.

Alpha - The difference between an investment's actual returns and its expected performance, given its level of risk (as measured by beta). **Beta** - An investment's sensitivity to market movements. **R-squared** - Ranges from 0 to 100 and reveals how closely an investment's returns track those of a benchmark index. **Standard Deviation** - Measures how much an investment's returns are likely to fluctuate. **Mean** - Represents the annualized total return for a fund over 3 and 5 years. **Sharpe Ratio** - Measures how an investment balances risks and rewards. The higher the Sharpe ratio, the better the investment's historical risk-adjusted performance. **Excess Return** - The difference between a manager's return and the return of an external standard such as a passive index. **Tracking Error** - The standard deviation or volatility of excess returns. **Information Ratio** - A risk-adjusted measure commonly used to evaluate an active manager's involvement skill. It's defined as the manager's excess return divided by the variability or standard deviation of the excess return.

† The Portfolio Composition depicts a breakdown of the investment option's portfolio holdings, as of the date listed, into general investment classes. The x-axis represents the percentage each investment group holds, with the y-axis representing a zero value. Values to the right of the y-axis represent long security positions, while values to the left of the y-axis represent short security positions. The table to the right of the bar chart sums these two values to present the net emphasis of each investment group. Due to rounding, the total net position may not equal 100%. Long positions involve buying a security and selling it later, with the hope that the security price rises over time. In contrast, short positions are taken to benefit from anticipated price declines.

Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise. Neither the principal of bond investment options nor their yields are guaranteed by the U.S. government.

Fixed-income and asset allocation investment options that invest in mortgage securities are subject to increased risk due to real estate exposure.

For Mutual Fund Network investment options, returns for all time periods, except the Since Inception time frame, may include the historical performance of the oldest share class of the fund, adjusted to reflect a portion of the fees and expenses of this share class. Since Inception returns display the actual return of this share class and do not reflect the adjusted returns of the oldest share class. Please see the fund's prospectus for more information on specific expenses, and the fund's most recent shareholder report for actual date of first sale. Expenses are deducted from income earned by the fund. As a result, dividends and investment results will differ for each share class.

* Values may exceed 100% if both long and short positions are included in the portfolio.